

What Is a Reverse Mortgage and How Does It Really Work?

A Plain Language Guide for Southern California Homeowners 62 and Older

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Meta Description: Thinking about a reverse mortgage but not sure how it works? Rudy Corona explains reverse mortgages in plain language for Southern California homeowners 62+. No pressure, no jargon.

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You Have Earned This. Now Let's Make Sure You Understand It.

You have spent decades building equity in your home. You have paid your mortgage faithfully, watched your home appreciate in value, and arrived at this stage of life with something real to show for it. The question now is: how do you use that wealth to live the retirement you actually want?

A reverse mortgage is one answer to that question. And it is one that millions of American homeowners 62 and older are exploring, especially here in Southern California, where home values are among the highest in the nation and the equity built up over 20 or 30 years of ownership can be substantial.

But before anything else, you need to understand exactly what a reverse mortgage is and how it works. Not the version full of financial jargon. The real version, in plain language. That is what this post is for.

The Simple Definition

A reverse mortgage is a loan that allows homeowners 62 or older to convert a portion of their home equity into cash, without selling the home and without making monthly mortgage payments.

Here is the key word: without. You access your equity without selling. Without monthly payments. Without giving up your home.

The loan does not come due until you sell the home, move out permanently, or pass away. Until one of those three things happens, the money is yours to use however you choose, and you continue to live in your home as the owner.

How It Compares to a Traditional Mortgage

Feature	Traditional Mortgage	Reverse Mortgage
Monthly Payments	Required every month	Not required; optional
Loan Balance	Decreases over time as you pay	Increases over time as interest accrues
Who Receives Payments	You pay the lender	Lender pays you (or provides credit line/lump sum)
Age Requirement	No age requirement	Must be 62 or older for HECM
Income Verification	Required for qualifying	Financial assessment, but no income qualifying threshold
Home Ownership	You own the home	You still own the home
When Repaid	Monthly over loan term	When you sell, move out, or pass away
Impact on Heirs	Heirs inherit equity after payoff	Heirs inherit home; reverse mortgage balance must be settled

The Most Common Type: HECM

The vast majority of reverse mortgages in the United States are Home Equity Conversion Mortgages, or HECMs. These are federally insured by the Federal Housing Administration and regulated by the U.S. Department of Housing and Urban Development. When most people talk about a reverse mortgage, they are talking about a HECM.

Because HECMs are FHA-insured, they come with significant consumer protections built in, including a non-recourse guarantee, which means you or your heirs will never owe more than the home is worth at the time of repayment. If the loan balance grows larger than the home's value, the FHA covers the difference. Not you. Not your family.

How You Can Receive the Money

One of the most flexible aspects of a reverse mortgage is how you can take the funds. You are not locked into one option:

Option	How It Works	Best For
Lump Sum	Receive all eligible funds at closing (fixed-rate loans only)	Paying off existing mortgage; large one-time expense

Monthly Payments	Receive a fixed amount each month for a set period or for as long as you live in the home	Supplementing Social Security or pension income consistently
Line of Credit	Access funds when you need them; unused portion grows over time	Financial safety net; unexpected expenses; maximum flexibility
Combination	Mix of monthly payments and line of credit	Both regular income and reserve access

The line of credit option is one of the most overlooked features of a reverse mortgage. Unlike a traditional home equity line of credit, the unused portion of a reverse mortgage line of credit actually grows over time, regardless of what happens to your home's value. For homeowners who want a financial safety net rather than immediate income, this can be extraordinarily powerful.

What You Are Required to Do

A reverse mortgage is not unconditional. To keep the loan in good standing, you must:

- Live in the home as your primary residence (you cannot be away for more than 12 consecutive months)
- Keep current on property taxes
- Maintain homeowner's insurance
- Keep the home in reasonable condition

These are the same responsibilities you have as any homeowner. They are not additional burdens created by the reverse mortgage.

Who Qualifies

Requirement	Details
Age	At least 62 years old; for married couples, both spouses listed if both are 62+; younger spouse can be listed as non-borrowing spouse with certain protections
Home Type	Primary residence; single-family home, 2-4 unit property (owner-occupied), FHA-approved condo, or manufactured home built after June 1976
Equity	Must have significant equity; most borrowers own their home outright or have a small remaining mortgage balance
Financial Assessment	Lender reviews income, assets, and credit to ensure ability to pay taxes, insurance, and maintain the home
Counseling	Required completion of an independent HUD-approved counseling session before the loan can proceed

Occupancy	Must be your primary residence; vacation homes and investment properties do not qualify
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The Loan Limit for 2025

For 2025, the FHA HECM lending limit is \$1,209,750. This means lenders calculate your maximum loan amount based on your home's value up to that cap, even if your home is worth more. For Southern California homeowners with high-value properties, this is an important number to understand when estimating how much you can access.

For homes valued above the HECM limit, jumbo or proprietary reverse mortgage products are available that allow you to access equity on higher-value properties, in some cases up to \$4 million.

The Bottom Line

A reverse mortgage is not a last resort. It is not a trick. It is not the bank taking your home. It is a federally regulated financial tool designed specifically to help homeowners 62 and older access the equity they have spent a lifetime building, while continuing to live in the home they love.

Whether it is the right tool for your situation depends on your goals, your financial picture, and your family's plans. That is exactly the conversation I have with every family that comes to me. No pressure. No obligation. Just an honest look at what is possible.

Get a Free Reverse Mortgage Consultation with Rudy Corona

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